

Find out the C.I and future sum on
₹ 2000 for 10 years at 5% interest

$$\text{C.I.} \Rightarrow F_{10} = 2000 \left(1 + \frac{5}{100}\right)^{10} \\ = 3257.78$$

$$\text{C.I} = 3257.78 - 2000 \\ \Rightarrow 1257.78$$

Nominal Interest Rate

generally we calculate interest annually but
whenever we calculate interest half
yearly, quarterly, monthly and daily
then it is nominal interest rate

Formula half yearly

$$\left\{ F_2 = P \left(1 + \frac{i}{2}\right)^{2N} \right\}$$

Quarterly

$$\left\{ F_4 = P \left(1 + \frac{i}{4}\right)^{4N} \right\}$$

Monthly

$$\left\{ F_{12} = P \left(1 + \frac{i}{12}\right)^{12N} \right\}$$

Daily

$$\left\{ F_{365} = P \left(1 + \frac{i}{365}\right)^{365N} \right\}$$